



IS 4108- IS Strategies

Presenter- PKDK Kaushalya

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LECTURE 03- PROCESS FOR DEVELOPING INFORMATION SYSTEMS
STRATEGIES

What is meant by a Strategy?

Strategy refers to a long-term plan designed to achieve competitive advantage and organizational goals.



Developing an IS Strategy

Developing Information Systems (IS) strategies involves a structured process of aligning technology with business goals

Strategic Management

Strategic management is the continuous process of;

- Analyzing the internal and external environment
- Formulating strategies
- Implementing strategies
- Evaluating and controlling performance
- It ensures that an organization survives and grows in a competitive environment.

Developing an IS Strategy

➤ Environmental Look Over

Internal Environment

- Resources
- Capabilities
- Core competencies

Common tools used;

- SWOT Analysis (Strengths, Weaknesses, Opportunities, Threats)
- PESTLE Analysis

External Environment

- Economic factors
- Political/legal factors
- Technological changes
- Social trends
- Competitive forces

Politics

P

- Fiscal policy
- Government activity
- Trade Restrictions
- Taxes

Economy

E

- Economic Growth / GDP
- Employment rate
- Exchange rate
- Inflation

Society

S

- Demographic variables
- Cultural Shifts
- Religion
- Consumer Behaviours / Lifestyle

Technology

T

- Technological access
- Infrastructure
- Research
- Customer Engagement / Trends

Law

L

- Wages
- Rights / Labour Laws
- Job security
- Regulations / Industry Standards

Environment

E

- Environmental Policies
- Recycling
- Consumption trends
- Production processes



Developing an IS Strategy cont.

➤ Strategy Formulation

Developing long-term plans based on analysis to achieve the company's purpose.

- Setting vision and mission
- Defining strategic objectives
- Choosing competitive strategy

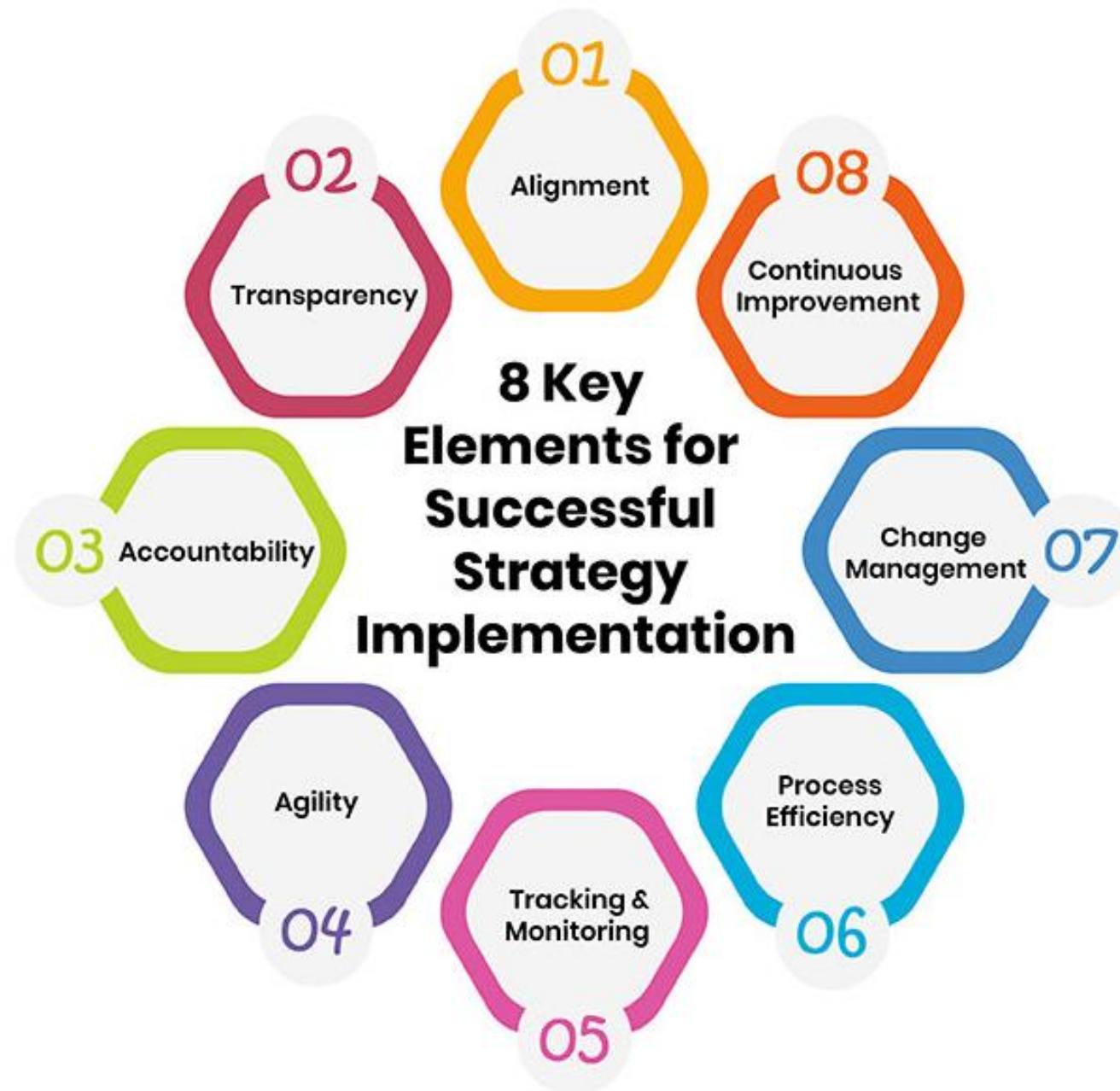


Developing an IS Strategy cont.

➤ Strategy Implementation

Turning plans into action.

- Allocating resources
- Designing organizational structure
 - Division of Work
 - Hierarchy of Authority
 - Departmentalization
 - Geographical Structure
- Leadership/ coordination and communication
- Change management



Developing an IS Strategy cont.

➤ **Strategy Evaluation and Control**

Monitoring performance and making corrections.

- Performance measurement
- KPI monitoring
- Feedback systems
- Corrective action
- Strategy must adapt to environmental changes.